mobile phones and cheap data—the BJP targeted its outreach through a new booth-level cadre structure that was deployed to mobilise labharthees of schemes like PM Awas, PM Kisan, Swachh Bharat and Ujjwala. The government also consciously privileged poor women in welfare housing registrations on an unprecedented scale. Importantly, whether it was houses or personal toilets, the government did not build these for the beneficiaries. The labharthees managed the construction themselves. This expansion of the social welfare net has been at the heart of the party's new model. This is why, after the BJP won the Bihar assembly election in November 2020, party president J.P. Nadda announced that it had won partly because of 'DBT-raj'.[53]

And therein lies the rub: for a regime so focused on building a DBT-enabled welfare state, the availability of strong public finances is a must. A tanking economy would simply dry up the funds for such welfare measures. As the economist Rathin Roy has pointed out, the government's total expenditure fell to 12.2 per cent of the GDP in 2019-20, compared to 13.9 per cent in 2013-14.[54] If the economy is not fixed, then the Modi government's ambition to significantly expand the footprint of its welfare programmes would become untenable. The fragility of Union government expenditures is more apparent when you factor in the rising budget deficit—and the situation may be worse than official figures suggest, because of borrowings through public sector enterprises that do not fully reflect in budget documents, as former RBI deputy governor Viral Acharya has pointed out.[55] While the India story is far from over, and it is certainly an overreaction to be 'losing hope in India',[56] sustaining heavy welfare spending without sustainably high growth rates is a challenge. Without serious disinvestment as well as further reforms and changes in the fiscal management system, the BJP's political project could run into a major economic roadblock. In other words, the money would simply run out. Unless this is managed well, economic strife could lead to multiple adverse political consequences.

Challenge 2: The China Border Stand-off